

Notes: Golez & Matthies (JFE, 2025)

Fed Information Effects: Evidence from the Equity Term Structure

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1 Big picture

- **Question.** Do investors treat Federal Reserve target-rate decisions as signals about the current state of the economy, rather than only as conventional monetary-policy shocks?
- **Core empirical innovation.** The paper uses the short end of the equity term structure: a 180-day dividend strip on the aggregate market.
- **Why dividend strips matter.** The short-term strip is dominated by near-term cash-flow expectations, while the aggregate market mixes near-term cash flows, long-run cash flows, discount rates, and risk premia.
- **Main sign prediction.** If Fed information effects exist, a surprise rate hike can raise short-term dividend-strip prices because investors infer better near-term economic fundamentals.
- **Main result.** The short-term asset return loads positively on monetary-policy surprises, while the long-term market return loads negatively.
- **Predictability result.** The FOMC-window short-term asset return predicts near-term dividend growth and GDP growth.
- **Economic takeaway.** Monetary-policy surprises contain information. The same rate cut that conventionally stimulates activity can also signal weak fundamentals.

2 Data and measurement

2.1 FOMC sample and monetary-policy surprises

The sample covers scheduled FOMC announcements from 2004 to 2019. The paper uses a baseline monetary-policy surprise, MPS, and an orthogonalized monetary-policy surprise, OMPS, from Bauer and Swanson. OMPS removes predictable components associated with pre-FOMC news.

Interpretation: The OMPS specification directly addresses the Fed-response-to-news critique.

2.2 Short-term and long-term assets

The short-term asset is a 180-day dividend strip on the S&P 500. The long-term asset is the aggregate stock market. Announcement returns are measured in a 30-minute FOMC window.

Interpretation: The contrast between the two assets is the core identification device.

2.3 Growth outcomes and forecast data

The paper studies future real dividend growth and real GDP growth at one- to six-quarter horizons. It also compares Greenbook forecasts to Survey of Professional Forecasters forecasts.

Interpretation: Growth predictability validates the interpretation of the short-term asset return as a near-term cash-flow news measure.

3 Models and empirical specifications

3.1 Growth process and policy rule

$$\begin{aligned}\widehat{\Delta GDP}_{t+1} &= \rho_g \widehat{\Delta GDP}_t + \epsilon_t + b \hat{i}_t + w_{t+1}, & b < 0. \\ \hat{i}_t &= \rho_i \hat{i}_{t-1} + \alpha E_t^{CB}(\widehat{\Delta GDP}_{t+1}) + \mu_t, & \alpha > 0.\end{aligned}$$

Interpretation: The central bank reacts to expected growth. The shock ϵ_t is the information shock and μ_t is a policy-preference shock.

3.2 Dividend growth and asset returns

$$\begin{aligned}\Delta d_t &= \alpha_d + \beta_d \widehat{\Delta GDP}_t + \omega_t. \\ \bar{r}_t^\infty &= \sum_{j=0}^{\infty} \rho^j \beta_d (E_{after} - E_{before}) \widehat{\Delta GDP}_{t+j+1}, & \bar{r}_t^1 &= \rho \beta_d (E_{after} - E_{before}) \widehat{\Delta GDP}_{t+1}.\end{aligned}$$

Interpretation: The short-term asset depends only on next-period expected growth; the long-term asset aggregates all future revisions.

3.3 Monetary-policy surprise

$$\Delta i_t^s = \frac{\alpha \epsilon_t + \mu_t}{1 - \alpha b}, \quad \mu_t + \alpha \epsilon_t = \Delta i_t^s (1 - \alpha b).$$

Interpretation: Investors observe the surprise but not its decomposition between information and policy-preference shocks.

3.4 Main return regression

$$\Delta P_t^h = a + \beta \Delta i_t^s + e_t, \quad h \in \{180 \text{ days}, \infty, 180 - \infty\}.$$

Interpretation: A positive loading for the 180-day strip is the paper's main evidence of Fed information effects.

3.5 Macro predictability

$$\Delta x_{t+k} = \alpha_k + \beta_k \Delta P_t^{180} + \delta_k Controls_t + \epsilon_{t+k}.$$

Interpretation: This tests whether the high-frequency price reaction predicts future fundamentals.

3.6 Fed versus SPF forecasts

$$\Delta RGDP_{t+k} = \alpha_k + \beta_k^{Fed} E_t^{Fed}(\Delta RGDP_{t+k}) + \beta_k^{SPF} E_t^{SPF}(\Delta RGDP_{t+k}) + \epsilon_{t+k}.$$

Interpretation: Significant Fed forecast coefficients support the premise that Fed actions can reveal useful macro information.

4 Identification and empirical design

The design addresses the concern that low-frequency forecast revisions are contaminated by public news observed before FOMC announcements. Short-term dividend strip returns are measured in a 30-minute window, and the paper also uses orthogonalized policy shocks. The key identification logic is the term-structure sign pattern: short-term dividend strips react positively to policy surprises, while the long-term market reacts negatively.

5 Section-by-section study guide

- The introduction motivates the debate over Fed information effects and explains why the short-term equity term structure is useful.
- The model formalizes how policy surprises mix information shocks and policy-preference shocks.
- The data section explains monetary-policy surprises, dividend-strip construction, and announcement returns.
- The main results show the opposite responses of short-term and long-term equity claims.
- The predictability section links announcement returns to future dividend and GDP growth.
- The discussion section compares Fed and private forecasts and calibrates the model.

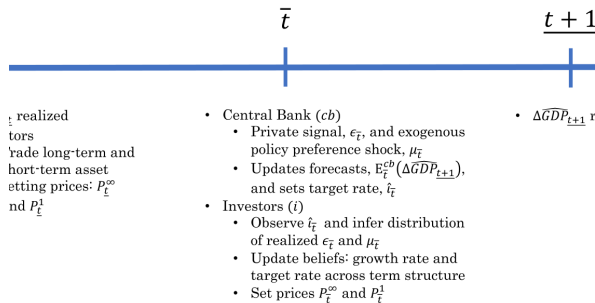
6 Tables and figures

6.1 Fig. 1: Stylized framework timing + Table 1: Summary statistics

Read: Fig. 1 shows the timing of investor pricing, central bank information, the target-rate announcement, and post-announcement belief updating. Table 1 reports 128 scheduled FOMC announcements, 84 non-zero surprises, and the basic correlations among MPS, OMPS, short-term asset returns, and long-term asset returns.

Detailed interpretation: The key pattern is already visible in the correlations: short-term asset returns are positively correlated with policy surprises, while long-term returns are negatively correlated.

Economic message: The same monetary surprise can be good news for near-term cash flows and bad news for long-horizon equity.



(a) Fig. 1: Stylized framework timing

Table 1
Summary statistics.

Panel A: Summary statistics				
	N	Mean	Median	Std. Dev.
Monetary Policy Shock (MPS)	128	-0.003	0.000	0.030
Orthogonalized Monetary Policy Shock (OMPS)	128	0.005	0.002	0.044
Short-Term Asset Announcement Return (STA)	128	0.003	0.001	0.037
Long-Term Asset Announcement Return (LTA)	128	0.001	0.001	0.006
Panel B: Pair-wise correlations				
	MPS	OMPS	STA	LTA
Monetary Policy Shock (MPS)	1	0.543	0.205	-0.320
Orthogonalized Monetary Policy Shock (OMPS)	0.543	1	0.260	-0.538
Short-Term Asset Announcement Return (STA)	0.205	0.260	1	-0.172
Long-Term Asset Announcement Return (LTA)	-0.320	-0.538	-0.172	1

Panel A presents the summary statistics for the monetary policy shocks and log asset returns around each FOMC announcement. Panel B presents the corresponding pair-wise correlations. MPS is monetary policy shock estimated using first to maturity federal funds futures. OMPS is the orthogonalized monetary policy shock from [Bauer and Swanson \(2023b\)](#). STA stands for the short-term asset announcement return around each FOMC announcement. LTA stands for the long-term asset announcement return around each FOMC announcement. We use 180-day dividend strip estimated from S&P 500 Index options as a proxy for STA. For LTA, we use the S&P 500 index itself. The period is from January 2004 through December 2019 and covers 128 scheduled FOMC announcements.

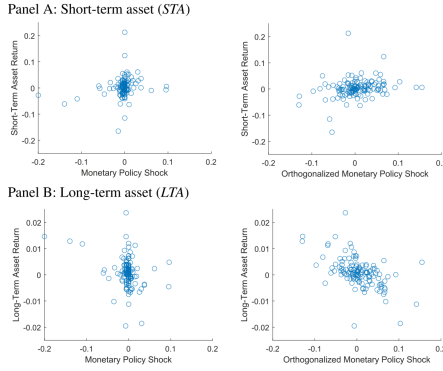
(b) Table 1: Summary statistics

6.2 Fig. 2: Asset announcement return around monetary policy shocks + Table 2: Asset announcement return on monetary policy shock

Read: Fig. 2 shows the positive slope for the short-term asset and negative slope for the long-term asset. Table 2 estimates these slopes and finds positive short-term loadings and negative long-term loadings under both MPS and OMPS.

Detailed interpretation: The OMPS result matters because it removes predictable pre-FOMC news. The return difference column shows that the term-structure contrast is statistically strong.

Economic message: The equity term structure separates Fed information effects from conventional discount-rate effects.



(a) Fig. 2: Asset announcement returns

Table 2
Asset announcement return on monetary policy shock.

	$\Delta t_i' = MPS_i$		$\Delta t_i' = OMPS_i$		$\Delta t_i' = OMPS_i$	
	ΔP_i^{180}	ΔP_i^{285}	$\Delta P_i^{180} - \Delta P_i^{285}$	ΔP_i^{180}	ΔP_i^{285}	$\Delta P_i^{180} - \Delta P_i^{285}$
Panel A: FOMC Announcements with Non-Zero MPS						
$\Delta t_i'$	0.241*** (0.090)	-0.060*** (0.017)	0.301*** (0.095)	0.236*** (0.069)	-0.072*** (0.012)	0.308*** (0.071)
Adj. R^2	0.069	0.121	0.098	0.115	0.297	0.175
Obs.	84	84	84	84	84	84
Panel B: All FOMC Announcements						
$\Delta t_i'$	0.249** (0.106)	-0.059*** (0.016)	0.308*** (0.109)	0.217*** (0.072)	-0.068*** (0.010)	0.285*** (0.073)
Adj. R^2	0.034	0.095	0.052	0.060	0.284	0.102
Obs.	128	128	128	128	128	128

This table presents the results from the regressions of asset announcement return on the monetary policy surprise:
 $\Delta P_i^h = \alpha + \beta \Delta t_i' + \epsilon_i$
 where $\Delta t_i'$ is either monetary policy shock estimated using first to maturity federal funds futures MPS_i or the orthogonalized monetary policy shock from Bauer and Swanson (2023b) $OMPS_i$ at date t . ΔP_i^h is the change in the log asset price over the same window (ΔP_i^{180} denotes the short-term asset announcement return (180-day dividend strip) and ΔP_i^{285} denotes the long-term asset announcement return (S&P 500 index)). OLS standard errors are reported in parentheses below the coefficient estimate. Panel A presents results for FOMC announcements with non-zero monetary policy shocks (non-zero MPS). Panel B presents results for all FOMC announcements in the period from January 2004 through December 2019. Stars *, **, *** denote statistical significance at the ten, five, and one percent level.

(b) Table 2: Main return regression

6.3 Table 3: Robustness + Fig. 3: Returns around the FOMC announcements

Read: Table 3 shows robustness to winsorization, influential observations, GMM standard errors, bid-ask controls, and a 270-day short-term asset. Fig. 3 shows event-time returns for positive and negative shocks.

Detailed interpretation: The robustness table shows the main pattern is not driven by outliers or a specific asset construction. The figure shows the timing is tied to FOMC announcements.

Economic message: The main evidence is robust and concentrated around the announcement window.

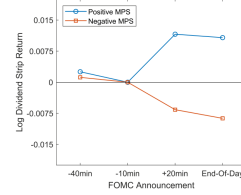
Table 3
Asset announcement return on monetary policy shock: Robustness.

	$\Delta t_i^c = MPS_t$			$\Delta t_i^c = OMPS_t$		
	$\Delta P_t^{(10)}$	$\Delta P_t^{(10)}$	$\Delta P_t^{(10)} - \Delta P_t^{(10)}$	$\Delta P_t^{(10)}$	$\Delta P_t^{(10)}$	$\Delta P_t^{(10)} - \Delta P_t^{(10)}$
Panel A: Main Robustness						
Winsorize (5%)						
Δt_i^c	0.206*** (0.068)	-0.051*** (0.013)	0.269*** (0.076)	0.178*** (0.052)	-0.060*** (0.009)	0.258*** (0.057)
Adj. R^2	0.090	0.153	0.121	0.113	0.349	0.187
Obs.	84	84	84	84	84	84
Exclude most influential observations from Bauer and Swanson (2023a)						
Δt_i^c	0.294** (0.124)	-0.048** (0.024)	0.342** (0.132)	0.237*** (0.075)	-0.068*** (0.013)	0.305*** (0.078)
Adj. R^2	0.054	0.038	0.067	0.100	0.245	0.151
Obs.	81	81	81	81	81	81
GMM standard errors						
Δt_i^c	0.241*** (0.069)	-0.060*** (0.014)	0.301*** (0.076)	0.236*** (0.071)	-0.072*** (0.016)	0.308*** (0.078)
Adj. R^2	0.069	0.121	0.098	0.115	0.297	0.175
Obs.	84	84	84	84	84	84
Control for bid-ask spread						
Δt_i^c	0.349*** (0.097)	-0.074*** (0.019)	0.423*** (0.102)	0.242*** (0.069)	-0.072*** (0.012)	0.314*** (0.071)
$\Delta Bid - ask_t$	1.527** (0.608)	-0.197* (0.118)	1.725*** (0.642)	0.699 (0.548)	-0.033 (0.997)	0.731 (0.570)
Adj. R^2	0.126	0.139	0.161	0.122	0.289	0.181
Obs.	84	84	84	84	84	84
270-day short-term asset						
Δt_i^c	0.139** (0.057)	-0.060*** (0.017)	0.200*** (0.064)	0.148*** (0.044)	-0.072*** (0.012)	0.220*** (0.047)
Adj. R^2	0.056	0.121	0.096	0.113	0.297	0.202
Obs.	84	84	84	84	84	84
Panel B: Different estimation windows for dividend strips						
Post-announcement window delayed until last 30 min in a day						
Δt_i^c	0.171* (0.103)	-0.067*** (0.025)	0.238** (0.110)	0.196** (0.079)	-0.070*** (0.019)	0.266*** (0.084)
Adj. R^2	0.021	0.070	0.042	0.058	0.137	0.099
Obs.	84	84	84	84	84	84
Extended pre- and post-announcement windows						
Δt_i^c	0.162** (0.075)	-0.065*** (0.020)	0.227*** (0.086)	0.157*** (0.058)	-0.068*** (0.015)	0.225*** (0.066)
Adj. R^2	0.042	0.098	0.067	0.071	0.185	0.115
Obs.	84	84	84	84	84	84

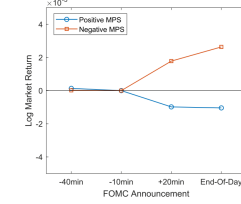
This table presents the results from robustness tests of our baseline specification of short-term asset return regressed on the monetary policy surprise: $\Delta P_t^{(10)} = \alpha + \beta \Delta t_i^c + \epsilon$ where Δt_i^c is either monetary policy shock estimated using first to maturity federal funds futures MPS_t or the orthogonalized monetary policy shock from [Bauer and Swanson \(2023b\)](#) $OMPS_t$ at date t . $\Delta P_t^{(10)}$ is the change in the log asset price over the same window ($\Delta P_t^{(10)}$ denotes the short-term asset announcement return (180-day dividend strip) and $\Delta P_t^{(10)}$ denotes the long-term asset announcement return (S&P 500 index). In Panel A, we winsorize variables at 5% level, exclude the most influential observations from [Bauer and Swanson \(2023a\)](#), replace OLS standard errors with GMM standard errors, add a control for the change in the options bid-ask spread, and replace the 180-day maturity dividend strip with a 270-day maturity dividend strip. In Panel B, we delay the post-announcement window until the last 30 min in a day (from 3:30 pm to 4:00 pm) and we extend the estimation windows such that the pre-announcement window starts at 10:00 am and the post-estimation window runs until 4:00 pm. The period is from January 2004 through December 2019 and includes FOMC announcements with non-zero monetary policy shocks (non-zero MPS). Stars *, **, *** denote statistical significance at the ten, five, and one percent level.

(a) Table 3: Robustness

Panel A: Short-term asset (STA)



Panel B: Long-term asset (LTA)



(b) Fig. 3: Returns around FOMC announcements

6.4 Table 4: Real dividend and GDP growth forecasting + Table 5: Non-FOMC days

Read: Table 4 shows that the short-term FOMC announcement return predicts future real dividend growth and near-term GDP growth. Table 5 shows that non-FOMC short-term returns do not predict growth.

Detailed interpretation: Table 4 validates the cash-flow interpretation. Table 5 is a placebo: the predictive power appears when the return is measured around FOMC information events.

Economic message: FOMC-window short-term strip returns behave like high-frequency growth-expectation revisions.

Table 4
Real dividend and GDP growth forecasting.

	Real Dividend Growth						Real GDP Growth					
Horizon	1Q	2Q	3Q	4Q	5Q	6Q	1Q	2Q	3Q	4Q	5Q	6Q
Panel A: Univariate regressions												
$\Delta P_t^{(10)}$	0.671*** (0.243)	0.874*** (0.253)	0.994*** (0.354)	1.203*** (0.425)	1.105*** (0.414)	1.038*** (0.364)	0.127** (0.061)	0.171** (0.080)	0.242*** (0.091)	0.154* (0.089)	0.107* (0.059)	0.045 (0.029)
Adj. R^2	0.046	0.078	0.081	0.120	0.102	0.087	0.034	0.064	0.145	0.053	0.019	-0.008
Panel B: Additional control variables												
$\Delta P_t^{(10)}$	0.514** (0.227)	0.727*** (0.234)	0.852** (0.413)	1.075** (0.396)	1.059** (0.496)	0.997** (0.438)	0.093* (0.057)	0.161* (0.101)	0.243** (0.097)	0.161* (0.064)	0.114* (0.037)	0.033 (0.037)
Δt_i^c	0.078 (0.286)	0.157 (0.263)	0.137 (0.295)	0.205 (0.313)	0.147 (0.402)	0.344 (0.492)	0.034 (0.087)	-0.010 (0.068)	0.019 (0.065)	0.025 (0.088)	0.094 (0.100)	0.116 (0.114)
$\Delta P_t^{(10)}$	-5.033 (3.670)	-3.376 (3.297)	-2.572 (3.520)	-2.360 (3.690)	2.613 (4.252)	5.151 (4.218)	-0.445 (0.664)	-0.120 (0.532)	0.512 (0.575)	1.324 (0.838)	0.929 (0.934)	0.929 (0.687)
$\Delta V_t^{(10)}$	-6.687 (4.551)	-4.127 (4.742)	-2.222 (5.594)	1.758 (6.766)	5.797 (6.690)	8.565 (6.690)	-0.202 (0.753)	0.227 (0.970)	0.919 (1.123)	1.365 (1.465)	1.528 (1.565)	1.003 (1.212)
Adj. R^2	0.066	0.072	0.061	0.095	0.080	0.097	0.020	0.032	0.122	0.046	0.066	0.027
Obs.	83	81	79	79	77	75	83	81	79	79	77	75

This table presents the results from the predictive regression of k -quarter ahead real dividend growth and real GDP growth on the 180-day dividend strip return $\Delta P_t^{(10)}$ in the 30 min window around the FOMC announcement. The specification is given by: $X_{t+k} = \alpha + \beta \Delta P_t^{(10)} + \epsilon_{t+k}$, $k \in \{1, 2, \dots, 6\}$.

The dependent variable is the real dividend growth $X_{t+k} = \log\left(\frac{D_{t+k}}{D_t}\right)$ (left side of the table) or the real GDP growth $X_{t+k} = \log\left(\frac{GDP_{t+k}}{GDP_t}\right)$ (right side of the table). Panel A presents the results for the univariate regression. Panel B includes control variables for the monetary policy shock $\Delta t_i^c = MPS_t$, the aggregate market announcement return $\Delta P_t^{(10)}$, and the change in the option implied volatility $\Delta V_t^{(10)}$. We report Newey-West adjusted standard errors with $k+1$ lags in parentheses below the coefficient estimates. The period is from January 2004 through December 2019 and includes FOMC announcements with non-zero monetary policy shocks (non-zero MPS). Stars *, **, *** denote statistical significance at the ten, five, and one percent level.

(a) Table 4: Growth forecasting

Table 5
Real dividend and GDP growth forecasting: Non-FOMC days.

Horizon	1Q	2Q	3Q	4Q	5Q	6Q
Panel A: Real Dividend Growth						
$\Delta P_t^{(10)}$	0.024 (0.153)	0.006 (0.171)	-0.031 (0.135)	-0.005 (0.174)	0.079 (0.209)	0.085 (0.227)
Adj. R^2	-0.004	-0.004	-0.004	-0.004	-0.004	-0.004
Obs.	252	248	244	240	235	232
Panel B: Real GDP Growth						
$\Delta P_t^{(10)}$	-0.015 (0.029)	-0.022 (0.038)	-0.024 (0.039)	-0.022 (0.044)	-0.002 (0.040)	0.005 (0.042)
Adj. R^2	-0.004	-0.003	-0.003	-0.002	-0.004	-0.004
Obs.	252	248	244	240	235	232

Panel A presents the results from the predictive regression of k -quarter ahead real dividend growth on the 180-day dividend strip return in the 30 minute window seven days before and seven days after the FOMC announcement: $\log\left(\frac{D_{t+k}}{D_t}\right) = \alpha + \beta \Delta P_t^{(10)} + \epsilon_{t+k}$, $k \in \{1, 2, \dots, 6\}$.

Panel B presents the same results for predicting real GDP growth. Newey-West adjusted standard errors with $k+1$ lags are in parentheses below the coefficient estimates. The period is from January 2004 through December 2019. Stars *, **, *** denote statistical significance at the ten, five, and one percent level.

(b) Table 5: Non-FOMC days

6.5 Table 6: Fed versus private-sector forecasts + Table 7: Parameter estimates

Read: Table 6 shows that Greenbook forecasts predict GDP growth beyond SPF forecasts. Table 7 summarizes the calibration parameters, including a much larger information-shock volatility than policy-preference-shock volatility.

Detailed interpretation: These tables connect the reduced-form asset-price evidence to the premise and quantitative model: the Fed has useful growth forecasts and the model can generate the empirical signs with plausible shocks.

Economic message: Fed information effects are plausible both empirically and quantitatively.

Table 6

Comparing fed and private sector forecasts.

Panel A: Greenbook Forecasts					
Horizon	0Q	1Q	2Q	3Q	4Q
$\mathbb{E}_t^{fed}(\Delta GDP_{t+k})$	0.977*** (0.101)	0.780*** (0.165)	0.672** (0.289)	0.358 (0.371)	0.152 (0.347)
Adj. R^2	0.520	0.215	0.091	0.015	-0.006
Obs.	114	114	114	114	114
Panel B: Greenbook versus SPF					
Horizon	0Q	1Q	2Q	3Q	4Q
$\mathbb{E}_t^{fed}(\Delta GDP_{t+k})$	1.081*** (0.163)	0.654** (0.259)	0.845** (0.328)	0.670 (0.587)	0.594 (0.512)
$\mathbb{E}_t^{SPF}(\Delta GDP_{t+k})$	-0.143 (0.187)	0.244 (0.417)	-0.423 (0.436)	-0.768 (0.729)	-1.156 (0.786)
Adj. R^2	0.517	0.212	0.090	0.025	0.021
Obs.	114	114	114	114	114

This table presents the results from predictive regressions of GDP growth on GDP forecasts: $\Delta GDP_{t+k} = \alpha_k + \beta_k^{fed} \mathbb{E}_t^{fed}(\Delta GDP_{t+k}) + \beta_k^{SPF} \mathbb{E}_t^{SPF}(\Delta GDP_{t+k}) + \varepsilon_{t+k}$, $k \in \{0, 1, 2, 3, 4\}$. The dependent variable ΔGDP_{t+k} is the k -quarter ahead real GDP growth defined as $100 \times \left(\frac{GDP_{t+k}}{GDP_{t+k-1}} \right) - 1$, where GDP_{t+k} is the level of real GDP in quarter $t+k$. $\mathbb{E}_t^{fed}(\Delta GDP_{t+k})$ is the Greenbook forecast made in quarter t and $\mathbb{E}_t^{SPF}(\Delta GDP_{t+k})$ is the same quarter forecast from the Survey of Professional Forecasters (SPF). We report Newey-West adjusted standard errors with $k+1$ lags in parentheses below the coefficient estimates. The period is from the third quarter of 1990 through the fourth quarter of 2018 and includes FOMC announcements with non-zero monetary policy shocks (non-zero MPS). Stars *, **, *** denote statistical significance at the ten, five, and one percent level.

(a) Table 6: Fed versus SPF forecasts

Table 7

Summary of the parameter estimates.

Parameter	Description	Estimate	Source
ρ_e	Persistence of the economic growth process	0.065	Estimated from external data (including: quarterly real gross domestic product growth from the 2024Q1 vintage of the Philadelphia Federal Reserve's real-time data set on the National Income and Product Accounts (NIPAs))
ρ_i	Persistence of policy rule	0.970	Estimated from external data (the data is quarterly from the third quarter of 1954, the beginning of the effective federal funds rate data from FRED, to the fourth quarter of 2021.)
β	Time discount rate	0.99	From prior literature (corresponds to an annual discount rate of 0.96)
b	Effect of policy on economic growth	-0.097	Estimated from external data (sign consistent with conventional effects of monetary policy)
α	Response of policy rule to forecasted economic conditions	0.105	Estimated from external data (sign consistent with conventional policy rule)
σ_π	Standard deviation of policy preference shock	0.035	Estimated based on other parameters and asset response data
σ_ε	Standard deviation of information shock	0.125	Estimated based on other parameters and asset response data

This table presents a summary of the parameter estimates from the model calibration.

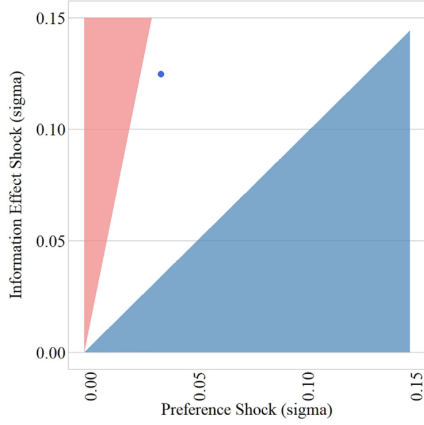
(b) Table 7: Parameter estimates

6.6 Fig. 4: Shock bounds with estimation + Fig. 5: Propagation of monetary policy surprise: Easing

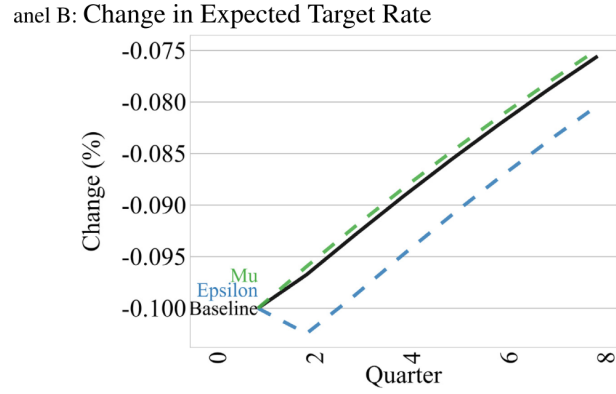
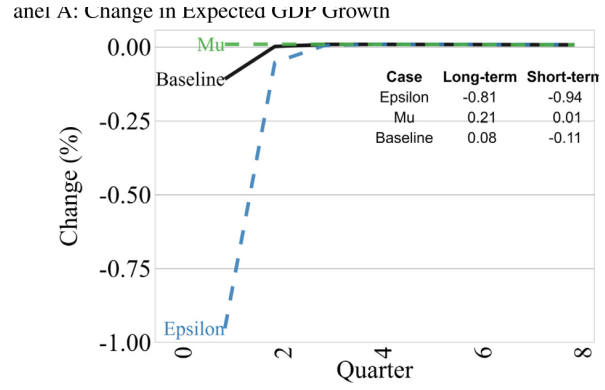
Read: Fig. 4 maps the parameter region that produces the empirical sign pattern. Fig. 5 shows how a surprise easing can lower near-term growth expectations if investors infer bad Fed information.

Detailed interpretation: Figure 4 validates that the observed signs are not a knife-edge. Figure 5 explains why easing can be interpreted negatively when it reveals weak fundamentals.

Economic message: Information effects can make an unexpected rate cut look like bad economic news.



(a) Fig. 4: Shock bounds



(b) Fig. 5: Propagation of easing

7 Result map

- Short-term equity claims react positively to target-rate surprises, consistent with near-term growth news.
- Long-term equity reacts negatively, consistent with conventional discount-rate effects at longer horizons.
- Short-term FOMC-window returns forecast future dividend and GDP growth.
- Non-FOMC-day short-term returns do not forecast growth.
- Greenbook forecasts contain incremental information relative to SPF forecasts.
- The calibration produces the empirical sign pattern with information shocks larger than policy-preference shocks.

8 Short summary

- The paper studies whether investors read FOMC target-rate decisions as macroeconomic signals.
- The main test uses short-term dividend strips in a 30-minute announcement window.
- The 180-day dividend strip loads positively on monetary-policy surprises.
- The aggregate market loads negatively on monetary-policy surprises.
- The short-term announcement return predicts future dividends and GDP.
- The result is absent on non-FOMC days and robust to orthogonalized shocks.
- The paper concludes that FOMC announcements reveal information about near-term economic conditions.

9 Conclusion

9.1 Core conclusion

Golez and Matthies provide evidence that investors interpret FOMC announcements as signals about near-term economic fundamentals. The equity term structure allows them to distinguish near-term cash-flow news from long-horizon discount-rate effects.

9.2 Economic intuition

A surprise rate hike can signal that the Fed sees stronger economic conditions. A short-term dividend strip therefore rises, even though a long-term market claim falls because discount-rate effects dominate.

9.3 Why the empirical strategy is persuasive

The design uses high-frequency announcement windows, orthogonalized policy shocks, and the contrast between short-term and long-term equity claims.

9.4 Policy implication

An unexpected rate cut can be read as bad news about fundamentals, which may reduce the stimulative effect of policy.

9.5 Limitations

Dividend-strip prices are estimated from derivatives and may be noisy; the baseline model abstracts from time-varying risk premia; and information effects may reflect perceived Fed processing ability rather than strictly private information.

9.6 Takeaway

Monetary-policy surprises are not one-dimensional. They can reveal economic information and move short- and long-horizon equity claims in opposite directions.